

GZ: 2023-0.583.644 dated December 7, 2023 (Case Number: DSB-D550.731)

[Note from the editor: Names and companies, legal forms and product designations, addresses (including URLs, IP and email addresses), file numbers (and the like), etc., as well as their initials and abbreviations may have been abbreviated and/or altered for pseudonymization reasons. Obvious spelling, grammar, and punctuation errors have been corrected.]

Criminal Finding

Accused legal entity: N*** Gastronomie GmbH (FN 3*3*68b)

The accused legal entity with its registered office at **31 K***hausen, O***straße *6/8/*7 (hereinafter referred to as "N***GG"), has, as the responsible party according to Art. 4 No. 7 of Regulation (EU) 2016/679 on the protection of natural persons in the processing of personal data, on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation, hereinafter: "GDPR"), OJ No. L 119 of May 4, 2016, p. 1 as amended, committed the following administrative offenses:

I. N***GG has, in its role as the responsible party according to Art. 4 No. 7 GDPR, during a period that cannot be precisely determined, but at least from July 31, 2020, to September 26, 2022 (hereinafter referred to as "Offense Period 1"), at the location in **12 K***hausen, M***platz *3 (hereinafter referred to as "Crime Scene 1"), unlawfully processed personal data by operating a video surveillance system, whereby the recording area of the system captured the interiors of its business premises ("N*** Delivery & Take away") at Crime Scene 1 (including workstations of the employees of N***GG in the kitchen and pickup area). The retention period for the recordings was 14 days, and the recording was conducted continuously—i.e., without interruptions (such as outside of operating hours). The data processing by N***GG was, as a result, not appropriate to the purpose and was significant and limited to the necessary extent for the purposes of processing and could not be based on any legal basis according to Art. 6 para. 1 GDPR.

II. Furthermore, N***GG has, in its role as the responsible party according to Art. 4 No. 7 GDPR, during a period that cannot be precisely determined, but at least from May 25, 2018 (or since the entry into force of the GDPR) to March 8, 2023 (hereinafter referred to as "Offense Period 2"), in **31 K***hausen, O***straße *6/8/*7 (registered office of N***GG – hereinafter referred to as "Crime Scene 2"), violated its obligation to maintain a record of processing activities in accordance with Art. 30 para. 1 GDPR by not maintaining such a processing record in the form specified in Art. 30 para. 3 GDPR (in writing or in an electronic format).

The accused legal entity has therefore, as a result, violated the following provisions of the GDPR:

- The lawful processing of personal data based on a legal basis according to Art. 6 para. 1 GDPR
- The obligation to maintain a record of all processing activities according to Art. 30 GDPR
- The principle of processing personal data lawfully, fairly, and in a transparent manner in relation to the data subject according to Art. 5 para. 1 lit. a GDPR ("Lawfulness, fairness, transparency")
- The principle of processing personal data that is adequate, relevant, and limited to what is necessary in relation to the purposes for which they are processed according to Art. 5 para. 1 lit. c GDPR ("Data minimization")

Administrative offenses according to:

Ad. I.: Art. 5 para. 1 lit. a and c as well as Art. 6 para. 1 in conjunction with Art. 83 para. 1 and 5 lit. a GDPR OJ L 2016/119, p. 1, as amended

Ad. II.: Art. 30 para. 1 in conjunction with Art. 83 para. 1 and 4 lit. a GDPR OJ L 2016/119, p. 1, as amended

Due to these administrative offenses, the following penalty is imposed in accordance with Art. 83 GDPR:

Fine of Euro

€ 20,000,-

according to

Art. 83 para. 5 lit. a GDPR OJ L 2016/119, p. 1,

as amended

Furthermore, you are to pay according to § 64 of the Administrative Penal Act 1991 – VStG:

Euro as a contribution to the costs of the penal proceedings, which is 10% of the fine,

but at least 10 Euro;

Euro as compensation for cash expenses for

The total amount to be paid (fine/costs/cash expenses) therefore amounts to

Euro

Payment deadline:

2,000,-

22,000,-

If no appeal is filed, this penalty notice is immediately enforceable. The total amount must be paid within two weeks after the legal force takes effect to the account [here abbreviated], held by the Data Protection Authority. The purpose of the payment should include the business number as well as the date of resolution.

If no payment is made within this period, the total amount can be collected. In this case, a flat fee of five euros must be paid. If payment is still not made, the outstanding amount will be enforced.

Justification:

1.

The following decision-relevant facts are established based on the conducted evidence procedure:

1.1. Regarding the procedural history:

On November 25, 2021, two former employees of N***GG (Mr. Johann A*** and Mr. Enrico B*** – hereinafter referred to as "Affected Parties") filed a complaint with the Data Protection Authority (hereinafter "DSB") regarding a violation of their right to confidentiality, stating essentially that N***GG was monitoring them at the workplace at Location 1 using a video surveillance system. The managing directors of N***GG had the ability to access the recordings from the video surveillance system at any time via smartphone.

The DSB subsequently initiated a complaint procedure in accordance with Art. 77 GDPR in conjunction with § 24 DSG under file number: D124.5325 and requested N***GG to provide a statement on this matter.

After numerous requests for a statement and the submission of screenshots from the camera recording area, which were initially refused by N***GG without substantive justification, the accused finally submitted the requested documents (recording area of the system) in the complaint procedure with a statement dated June 21, 2022, and explained that the use of the cameras served to protect the property of the accused and the protection of customers and employees of N***GG and represented the least intrusive means. The recordings from the cameras would be stored for a duration of 14 days. After that, the recordings would be automatically deleted. The accused based the processing on an alleged consent of the affected parties in accordance with Art. 6 para. 1 lit. a GDPR.

As a result, the DSB concluded the complaint procedure against N***GG in accordance with Art. 77 GDPR in conjunction with § 24 DSG with a decision dated September 26, 2022 (file number: D124.5325 / 2022-0.646.831). The DSB upheld the complaints of the affected parties and stated in the decision that N***GG violated the affected parties' right to confidentiality by processing image recordings with a video surveillance system in the kitchen of its business premises that captured the entire kitchen workspace. N***GG was ordered under point 2 of the decision to impose a temporal and spatial restriction regarding the video surveillance system (restricting the recording area and operating hours). Furthermore, the DSB found that the accused did not maintain a record of processing activities (see point C.6, p. 11). The decision was contested by N***GG through a complaint dated October 27, 2022, and is currently pending at the Federal Administrative Court under a file number unknown to the DSB.

In a letter dated March 8, 2023, the DSB initiated the present administrative penalty procedure against N***GG and requested justification. In the course of the request, the accused was also asked to disclose their annual turnover from the previous year. In response, the accused submitted a written justification on April 6, 2023, and requested the termination of the procedure with a justification that was essentially limited to general statements. Additionally, the representative notice of the accused's representative was unclear. Finally, the annual turnover was not disclosed.

Therefore, the DSB requested the accused in a letter dated May 16, 2023, to provide a supplementary statement, to clarify the power of attorney disclosure, and to disclose their annual turnover. The accused refused to further participate in the administrative penalty procedure and did not provide any further statement in response.

With a decision dated June 14, 2023, the DSB suspended the present procedure in accordance with § 24 VStG in conjunction with § 38 AVG until a legally binding decision by the Court of Justice of the European Union (CJEU) in case C-807/21 (Deutsche Wohnen SE). This suspension decision became final due to the lack of legal remedies.

With a decision dated December 5, 2023, the DSB lifted the suspension decision of June 14, 2023, ex officio and continued the administrative penalty procedure – taking into account the judgment of December 5, 2023, of the CJEU in case C-807/21.

Assessment of evidence: The previous findings regarding the procedural history arise from the present administrative penalty file and the administrative act concerning the complaint procedure (file number: D124.5325).

1.2. Regarding the operation of the video surveillance system:

N***GG has been exercising the regulated trade "Hospitality in the form of a restaurant" since December 18, 2013, and has been operating a business premises at Location 1 for this purpose since December 21, 2020 ("N*** Delivery & Take away").

The N***GG has installed a video surveillance system with a total of three video cameras within the business premises at the crime scene 1 for the purpose of protecting its property and its employees ("against dangerous attacks from third parties or against unjustified accusations by guests or other employees") and operated it at least from July 31, 2020, to September 26, 2022.

The recording area of the video surveillance system covered the entire kitchen area, the storage room, as well as the bar or counter including the entrance and guest area within the business premises. The recording area of the system was specifically as follows during this period (formatting of the transmitted images not reproduced 1:1):

[Note by the editor: The digital image (screenshot of color images from the video surveillance in question, apparently from the display of a mobile device) shown here in the original shows in three parts the settings, i.e., the recording areas of three cameras, labeled as "Kitchen," "Storage," and "Entrance." It is evident from the image parts that the date and time of the recording are displayed.] The recordings of the video surveillance system were stored/retained for a duration of 14 days and were automatically deleted after this period.

No temporal restriction on processing (e.g., operation/activation of the video surveillance system only outside of business hours) was implemented.

Evidence Assessment: The findings regarding the exercise of the hospitality business were obtained through inspection of the Business Information System Austria (GISA inquiry as of the cut-off date: August 8, 2023).

The findings regarding the operation and purpose of the video surveillance system as well as the number of cameras at crime scene 1 are based on the defendant's own statements and are therefore undisputed (see written justification dated April 6, 2023).

The finding that the video surveillance system was operated at crime scene 1 during the time of the offense is based on the following: First, it should be noted that the defendant was accused of a specific time frame (July 31, 2020, to September 26, 2022) in the context of the request for justification, which the defendant did not contest in her written justification and also did not provide any (contradictory) submissions in this regard. Although the defendant raised the issue of statute of limitations in legal

terms, she referred to a letter from the DSB dated December 29, 2021, which evidently represented a request for a statement in the complaint procedure (GZ: D124.5325 / 2021-0.832.353) and not the request for justification in the present case.

In the request for a supplementary statement, the defendant was again given the opportunity to submit a statement in this regard or to elaborate on her above-mentioned submission. The defendant did not comply with this request.

The established period is also supported by the statements of the affected parties, both of whom had been employed at the defendant's business premises as manager and cook since at least July 31, 2020, and had, in the context of this employment, overseen the operation of the video surveillance system in question and ultimately made it the subject of a complaint procedure through their joint submission dated October 28, 2021. They stated in the complaint that after consulting with the Chamber of Labor, they wished to file a complaint because they were being monitored at their workplace by the video surveillance system. The operation of the video surveillance system was not contested by the defendant (neither in the complaint procedure nor in the administrative penalty procedure). Finally, the defendant submitted several images or screenshots of the recording area of the system as evidence during the statement of June 21, 2022, in the complaint procedure (Annex ./6). These images show a timestamp ("June 15, 2022"). Throughout the complaint procedure, the defendant did not present any changes regarding the video surveillance system but insisted on the legality of the video surveillance. Therefore, it could be assumed regarding the end of the period that the system was operated at least until the time of the issuance of the decision in the complaint procedure on September 26, 2022.

The established recording area of the video surveillance system within the business premises is based on the defendant's own statements and the images she submitted in the context of the statement of June 21, 2022, in the complaint procedure (Annex ./6) and is therefore undisputed. The findings regarding the storage duration of 14 days and the lack of temporal restriction also arise from the defendant's own statements (see justification dated April 6, 2023).

Regarding the video surveillance system, the following clause on "Camera Recording" in the "Safe and Local Area" was included in the employment contracts of the employees of N***GG under point 13 (formatting not reproduced 1:1):

[Note by the editor: The excerpt from the contract text presented here as a facsimile (graphic file) cannot be pseudonymized with reasonable effort and is therefore reproduced as text (quotation marks not in the original).]

"13. Miscellaneous:

Camera Recording:

The safe and local area is monitored by video cameras. The video surveillance does not intend to monitor the employees but serves solely to protect the employer's operational facilities as well as the protection of the employees. The employee gives his explicit consent to the implementation of the described video surveillance."

****Assessment of Evidence:**** This finding is based on the statements made by the accused. In the appeal proceedings, the accused submitted as evidence the employment contracts she utilized. The N***GG has not maintained a record of processing activities under its responsibility from at least May 25, 2018, to March 8, 2023.

****Assessment of Evidence:**** This finding initially arises from the statement of the N***GG dated August 25, 2022, in the appeal proceedings. In this statement, it was argued, among other things, that due to the lack of a processing activity ("or these image recordings are not processed"), it was not clear to her "which records should be kept according to Art. 30 GDPR." Furthermore, the accused was specifically accused of violating Art. 30 GDPR in the context of the request for justification. In response to this accusation, the accused stated that the video recordings could only be viewed by the commercial managing directors or that only they had the login data. Additionally, the recordings would be automatically deleted after 14 days if no evidence preservation was required. Therefore, it was not clear to her "which records should be kept according to Art. 30 GDPR." It follows without a doubt that the accused has not maintained a record of processing activities at least since the entry into force of

the GDPR on May 25, 2018, until the time of the request for justification.

1.3. ****Regarding the Revenue of the Accused****

The relevant revenue of the accused could not be determined.

****Assessment of Evidence:**** The revenue could not be determined due to the lack of cooperation from the accused. No documents were submitted in this regard. The accused was requested to disclose her revenue as part of the request for justification. The accused did not comply with this request in her written justification. Subsequently, she was again requested during the course of the proceedings to disclose her revenue and was informed that in the event of a lack of cooperation in this regard, an estimate would have to be made. There was no further response from the accused to this latter request. The data protection authority ultimately conducted an official inquiry within the commercial register (commercial register excerpt/annual financial statement) and examined the available documents. Specifically, the annual financial statement for the year 2022 of the accused can be viewed in the commercial register; however, this document does not contain an excerpt of the profit and loss statement of the accused for the year 2022 or any other information regarding the revenue generated. The annual financial statement available in the commercial register only indicates that the accused achieved a balance sheet profit of EUR 22*.9*1.89.

2.

****Legally, it follows that:****

2.1. ****Regarding the Jurisdiction of the Data Protection Authority and the Scope of Application of the GDPR****

Art. 83 para. 5 lit. a GDPR stipulates that in the event of violations of the provisions of Art. 5, 6, 7, and 9 GDPR, fines of up to 20,000,000 euros or, in the case of a company, up to 4% of its total worldwide annual revenue from the previous financial year may be imposed, depending on which amount is higher.

According to § 22 para. 5 DSG, the jurisdiction for imposing fines against natural and legal persons for Austria as the national supervisory authority lies with the DSB.

According to Art. 2 para. 1 GDPR, the regulation applies to the wholly or partially automated processing of personal data as well as to the non-automated processing of personal data that is stored or is intended to be stored in a filing system.

The image data recorded by the video cameras in the present case undoubtedly constitutes personal data within the meaning of Art. 4 no. 1 GDPR (cf. ECJ 11.12.2014, C-212/13, para. 2). The use of the relevant video surveillance system constituted processing within the meaning of Art. 4 no. 2 GDPR. To the extent that the accused argues in this context that there is "no processing activity" in the specific case and therefore no record needs to be kept, it can be pointed out that the legal definition according to Art. 4 no. 2 GDPR does not require "minimum processing" (cf. BVwG of 03.09.2019, GZ: W214 2219944-1). From the wording of the definition, it can be inferred that the mere creation or collection of personal data constitutes processing. Furthermore, the accused herself states that the recordings are stored for a duration of 14 days. Storage also constitutes an independent processing activity within the meaning of Art. 4 no. 2 GDPR.

In light of the facts assumed to be proven, the accused qualifies as the controller according to Art. 4 no. 7 GDPR, as she operated a video surveillance system primarily to protect her property. The role as controller was not disputed by the accused (neither in the appeal proceedings nor in the administrative fine proceedings).

As the controller, the accused is the addressee of the relevant obligations of the GDPR in connection with the video surveillance system, which will be examined in more detail below.

2.2. ****Regarding the Legality of Processing by the Video Surveillance System (Decision Point I.)****

The primary purpose of the video surveillance system was presented by the accused as the protection of her property. Additionally, she also mentioned the protection of her employees, as noted. The accused initially cited consent as the legal basis for processing through the video surveillance system in the appeal proceedings.

****Employees (Art. 6 para. 1 lit. a GDPR)****

In response to the request for justification in the present proceedings, the accused ultimately based the

processing on legitimate interests according to Art. 6 para. 1 lit. f GDPR. Also, in the context of the complaint procedure, the accused initially (in the first statements) based the processing on the consent of their employees and subsequently on legitimate interests. The following will examine both legal bases invoked in detail. The remaining legal bases according to Art. 6 para. 1 GDPR were not presented and are also not relevant after an official review in the present case.

****2.2.1. On Consent as a Legal Basis According to Art. 6 para. 1 lit. a GDPR****

According to Art. 4 no. 11 GDPR, "consent" of the data subject is understood as any freely given, specific, informed, and unambiguous indication of the data subject's wishes, by which they signify agreement to the processing of personal data concerning them, in the form of a statement or a clear affirmative action.

According to Art. 7 para. 4 GDPR and taking into account Art. 4 no. 11 GDPR and Recital 43 GDPR, consent must be given voluntarily and must not be tied to the fulfillment of a contract, although such consent is not necessary for the fulfillment of that contract. Consent is considered involuntary particularly when a disadvantage is expected in case of non-giving of consent (see the decision of the DSB from April 16, 2019, GZ: DSB-D213.679/0003-DSB/2018).

Art. 7 para. 1 GDPR clearly lays out the explicit obligation of the controller to demonstrate the consent of the data subject. According to Art. 5 para. 2 in conjunction with Art. 7 para. 1 in conjunction with Art. 24 para. 1 GDPR, the burden of proof lies with the controller.

Recital 42 of the GDPR states: "If the processing is based on the consent of the data subject, the controller should be able to demonstrate that the data subject has given consent to the processing operation."

In this context, the CJEU has explicitly clarified in a ruling that the controller of a processing operation bears the burden of proof for compliance with the principles according to Art. 5 para. 1 GDPR. This means that the controller must demonstrate, for example, that the data has been collected for specified, explicit, and legitimate purposes and is processed lawfully, fairly, and in a transparent manner in relation to the data subject. Furthermore, the CJEU finally pointed out regarding consent according to Art. 7 para. 1 GDPR that in cases where the processing is based on consent, the controller bears the burden of proof that the data subject has consented to the processing of their personal data.

In this context, the controller bears the burden of proof as to whether the consent was actually effective, particularly whether it was given voluntarily (cf. CJEU of 04.07.2023, C-252/21, para. 95 and 152 ff). In a recent decision, the CJEU reiterated that controllers, in light of their obligations under the GDPR, must not only take appropriate and effective measures but also be able to demonstrate that their processing activities are in compliance with the GDPR and that the measures taken are effective in ensuring this compliance (cf. CJEU of 05.12.2023, C-807/21, para. 38).

In the specific case, the accused initially relied on the consent of the employees but was unable to demonstrate a valid consent for the processing by the video surveillance system in accordance with the aforementioned provisions or requirements of the GDPR, particularly regarding the voluntariness of consent, during the complaint proceedings. Furthermore, even the existence of such consent from the employees in the specific case could not meet the criterion of voluntariness (cf. the statements and cited case law in the decision of the DSB of 26.09.2022, p. 13). Both in the context of the complaint against the decision of 26.09.2022 and in the course of the written justification of 06.04.2023, the accused argued that it considered the established video surveillance in the kitchen of the workplace to be "absolutely necessary." Therefore, it is evident that the accused would not have deinstalled or continued to operate the relevant camera in the kitchen even in the absence of an employee's consent. Thus, there was no alternative for the employees if they had decided not to grant consent for the operation of the video surveillance system. By lacking consent, the employees would also have violated the established clause in their employment contract ("camera recording") (prohibition of coupling according to Art. 7 para. 4 GDPR).

In light of this, the processing in question could not be based on any possible consent from the employees in the sense of Art. 6 para. 1 lit. a in conjunction with Art. 7 GDPR. Finally, it should be noted in this context that the accused, in its justification of 06.04.2023, only invoked a legitimate interest as the legal basis.

2.2.2. On legitimate interest as a legal basis under Art. 6 para. 1 lit. f GDPR

Initially, regarding the change of the legal basis during the proceedings, it should be noted that the DSB – in accordance with the guidelines of the European Data Protection Board (EDPB) – assumes that a subsequent change of the legal bases from Art. 6 para. 1 lit. a to lit. f in the event of the invalidity of the consent declaration is not permissible (cf. BVwG of 28.09.2023, W256 2227693-1, in **In connection with a customer loyalty program). Regardless, the legal basis under Art. 6 para. 1 lit. f GDPR will be examined in more detail in the specific case. Regarding the legality of the processing, it is pointed out that Art. 5 GDPR establishes the principles for the processing of personal data and in para. 1 lit. a stipulates that personal data must be processed lawfully, fairly, and in a transparent manner in relation to the data subject ("Lawfulness, Fairness, Transparency"). Art. 5 para. 1 lit. c GDPR further stipulates that the specific data processing must be adequate and relevant to the purpose and limited to what is necessary for the purposes of processing ("Data Minimization"). The requirements for lawful data processing are specified in Art. 6 GDPR. Accordingly, the lawfulness of any processing requires that the processing—cumulatively with the other principles regulated in Art. 5 para. 1—must meet at least one of the legal grounds conclusively established in Art. 6 para. 1 GDPR (cf. Selmayr in Ehmann/Selmayr, General Data Protection Regulation, Commentary², Art. 5 Rz 8f). Art. 6 para. 1 lit. f GDPR (legitimate interests) permits processing under the jurisprudence of the CJEU under three cumulative conditions: (i) the pursuit of a legitimate interest; (ii) necessity of the processing; and (iii) no overriding of the rights and freedoms of others (cf. CJEU judgment of 11.12.2019, Case C-708/18, para. 36 with references).

The CJEU has already pointed out regarding the pursuit of a legitimate interest that the protection of property as well as the protection of health and life can fundamentally represent legitimate interests for the operation of a video surveillance system (cf. CJEU judgment of 11.12.2019, Case C-708/18, para. 42). Data processing for the purpose of asserting, exercising, or defending legal claims can also represent a legitimate interest (cf. Art. 9 para. 2 lit. f, Art. 17 para. 3 lit. e, Art. 18 para. 2, or Art. 21 para. 1 GDPR; cf. CJEU of 17.06.2021, C-597/19, para. 108 ff). In the present case, a legitimate interest of the accused cannot be excluded.

At the same time, however, the CJEU stated that any data processing regarding its permissibility must meet the principles for processing established in Art. 5 para. 1 GDPR (cf. regarding the old, but identical legal situation, the CJEU judgment of 13.05.2014, C-131/12, para. 71 with references). Regarding the necessity of processing, the CJEU noted that exceptions and restrictions concerning the protection of personal data must be limited to what is absolutely necessary (cf. CJEU judgment of 4.05.2017, C-13/16, as well as from 9.11.2010, C-92/09 and C-93/09). In other words: It must be examined whether the same protective purpose can also be achieved by a milder means or whether the intended goal can be reached with a less intrusive data processing.

In the present case, the accused had—summarized—a legitimate interest in operating the video surveillance system (primarily the protection of their property and additionally the protection of their employees); however, the specific processing or the setting of the determined recording area, the operating time, and the storage duration of the recordings of 14 days was not necessary and thus not the least intrusive means to ensure the mentioned interests. Regarding the intensity of the intrusion of the processing, it should be noted that in the specific case there was a significant intrusion into the fundamental right to confidentiality of the employees, as they were permanently monitored at their workplace. In particular, there was no restriction of the video surveillance to times outside of operating hours.

The criterion of necessity is closely linked to the principle of data minimization (Art. 5 para. 1 lit. c GDPR). Accordingly, the processed data must be adequate and relevant to the purpose and limited to what is necessary for the purposes of processing. Even if video surveillance appears absolutely necessary, measures to limit the recording area, such as installing a physical barrier or pixelating

non-relevant areas, must be taken (cf. European Data Protection Board (EDPB) Guidelines 3/2019 on the processing of personal data through video devices, Version 2.1, para. 25-27).

In the specific case, due to the set recording area, the set operating time of the camera in the kitchen area, and the storage duration of 14 days, no necessity of processing in the sense of Art. 5 para. 1 lit. c GDPR can be recognized. Regarding the recording area and the operating time of the camera in the kitchen area, reference can be made to the statements in the decision of the DSB from 26.09.2022 (p. 15 f).

Furthermore, due to the disproportionately long storage duration, there is also no necessary processing or not the least intrusive means. The principle of storage limitation under Art. 5 para. 1 lit. e GDPR specifies the principle of data minimization concerning the storage duration. This must be limited to the absolutely necessary minimum. The period or the criteria by which the time of deletion is determined must be limited to the absolutely necessary minimum for the purposes of processing. The determination of the periods or criteria therefore requires an individual case consideration, in which the necessity of retaining data is assessed based on the purposes of processing (cf.

Hötzendorfer/Tschohl/Kastelitz in Knyrim, DataComm Art. 5 GDPR, para. 49f).**

In the present case, the responsible party chose a storage duration of 14 days. The data protection authority does not assume that in the event of a break-in or property damage, the accused would need 14 days to notice this and subsequently access the recordings. In cases of break-ins, damages, or other incidents where a recording may be necessary for clarification, it must be assumed that such recordings would be stored in a timely manner following the respective event and, for example, transmitted to the security authorities (cf. BVwG of June 2, 2021, W211 2232587-1, p. 23). The data protection authority generally assumes a storage duration of 72 hours for such video surveillance systems (responsible parties are informed about longer durations on the website of the data protection authority at

https://www.dsb.gv.at/download-links/fragen-und-antworten.html#Stationaere_Videoueberwachung).

For a storage duration of 14 days, specific reasons would need to be provided, which the accused did not present (cf. EDSA Guidelines 3/2019 on the processing of personal data by video devices, version 2.1, para. 121), although the burden of proof for this lies with them according to Art. 5 para. 2 GDPR.

Therefore, contrary to their obligation to provide evidence (see the above-cited case law of the CJEU regarding the burden of proof for responsible parties), the accused could not convincingly demonstrate the necessity of the processing concerning the aforementioned settings either in the complaint procedure or in the present procedure. In the request for an additional statement in the specific procedure, the accused was explicitly informed and asked to demonstrate the necessity of the processing. The accused did not comply with this request.

Due to the lack of necessity for the processing, there is consequently no need for a balancing of interests in the narrower sense between the interests of the accused and those affected.

As a result, the conditions for the legal bases under Art. 6 para. 1 lit. a and f GDPR for the specific processing are not met. No other legal basis under Art. 6 para. 1 GDPR is applicable and was also not presented. The processing of image data by the relevant video surveillance system was therefore unlawful.

Thus, the objective elements of a violation of the principles for processing under Art. 5 para. 1 lit. a and c and Art. 6 para. 1 GDPR are fulfilled.

2.3. Regarding the violation of Art. 30 GDPR (Decision Point II.)

Every responsible party and, if applicable, their representative must maintain a record of all processing activities under their responsibility in accordance with Art. 30 para. 1 GDPR. This record must contain the information specified in Art. 30 para. 1 lit. a to g GDPR. Such a record must be maintained in writing according to Art. 30 para. 3 GDPR, with an electronic format also being permissible. According to Art. 30 para. 4 GDPR, responsible parties must make this record available upon request from a supervisory authority.

In the present case, the accused, as established, did not maintain such a record of the processing

activities falling under their responsibility. Therefore, they could not present such a record upon request from the DSB in the context of the complaint procedure.

In this context, the accused summarized that only the managing directors of N***GG have access to the recordings of the system and that the recordings are automatically deleted after 14 days if no evidence preservation appears necessary. Therefore, there are "no processing activities" in the specific case, and it is not clear which records would need to be maintained. Finally, reference was again made to the purpose of the system.

Regarding the fact that there is processing in the sense of Art. 4 No. 2 GDPR in the specific case, reference can be made to the statements above under point 2.1. The accused processed, as already stated, in their role as the responsible party through the use of the video surveillance system personal data of their employees and customers. As a result, they are subject to the relevant obligations of the GDPR and thus also to the obligation to maintain a record of processing activities in accordance with Art. 30 para. 1 GDPR. The exception provision under Art. 30 para. 5 GDPR is not applicable in the specific case due to the regular or permanent processing by the video surveillance system (cf. Jahnel, Commentary on the General Data Protection Regulation Art. 30 GDPR, para. 13 (as of December 1, 2020, rdb.at)).

Thus, the objective elements concerning Art. 30 para. 1 GDPR are also fulfilled.

2.4. Regarding the liability of the accused as a legal entity under Art. 83 GDPR

The conditions for imposing fines against both natural persons and legal entities are regulated in Art. 83 GDPR. However, the national legislator has further stipulated "general conditions for the imposition of fines" in § 30 para. 1 and 2 DSG.

According to § 30 para. 1 DSG, the data protection authority can impose fines against a legal entity if violations of the provisions of the GDPR were committed by persons who acted either alone or as part of an organ of the legal entity and hold a managerial position within the legal entity due to (1) the authority to represent the legal entity, (2) the authority to make decisions on behalf of the legal entity, or (3) a control authority within the legal entity.

Legal entities can be held liable for violations of the provisions of the GDPR in accordance with § 30 para. 2 DSG even in cases where a lack of supervision or control by a person named in § 30 para. 1 DSG has enabled the commission of these violations by a person acting on behalf of the legal entity (lack of control and supervision), provided that the act does not constitute an offense falling within the jurisdiction of the courts.

The Administrative Court has, in its ruling of 12.05.2020 in case Ro 2019/04/0229, for the first time addressed the applicability of the prerequisites for criminal liability under § 30 DSG in a procedure according to Art. 83 GDPR and stated in this context that a legal entity cannot act on its own and therefore its liability under § 30 DSG is a consequence of the factual, unlawful, and culpable behavior of a natural (leading) person in the sense of § 30 para. 1 DSG. Accordingly, for the effectiveness of the prosecution action directed against the legal entity, a precise description of the act of the natural person (or also the so-called "attribution person") is necessary. The attribution of the specific act by the leading person to the legal entity must be included in the ruling, and the attribution person must also be named as an identified natural person (cf. VwGH 12.05.2020, Ro 2019/04/0229, with further references). In other words: The data protection authority must name in the ruling of the penalty decision the natural (leading) person whose violation of the GDPR or the DSG is to be attributed to the responsible legal entity in the sense of Art. 4 no. 7 GDPR, in order to subsequently impose a fine under Art. 83 GDPR against the responsible legal entity.

This attribution person is to be treated as an accused in the administrative penalty proceedings against the legal entity and has per se party status (cf. Zaczek, The Model of Corporate Responsibility under Art. 83 GDPR, in Jahnel (ed.), Yearbook Data Protection Law 2020, pp. 257 et seq.).

By decision of 06.12.2021, the Berlin Court of Appeal requested the CJEU, within the framework of a preliminary ruling request under Art. 267 TFEU, to interpret Art. 83 GDPR concerning the question of

whether a company can be directly affected in penalty proceedings due to a violation of Art. 83 GDPR and submitted the following questions in this context:

1. Is Art. 83 para. 4 to 6 GDPR to be interpreted as incorporating the functional concept of the company assigned to Art. 101 and 102 TFEU and the principle of function bearers into domestic law, with the consequence that, by extending the underlying legal entity principle of § 30 OWiG, a penalty procedure can be conducted directly against a company and that the imposition of a fine does not require the determination of an administrative offense committed by a natural and identified person, possibly in full criminal liability?

2.

If the question in 1. is answered in the affirmative: Is Article 83 paragraphs 4 to 6 of the GDPR to be interpreted such that the company must have culpably committed the violation through an employee (cf. Article 23 of Regulation (EC) No. 1/2003 of the Council of December 16, 2002, for the implementation of the competition rules laid down in Articles 81 and 82 of the Treaty), or is it sufficient for the imposition of a fine on the company that there is an objective breach of duty attributable to it ("strict liability")? The preliminary ruling request from the Berlin Court of Appeal raised the question of whether the provisions of Section 30 paragraphs 1 and 2 of the DSG could even be applied, as they might contradict the directly applicable provisions of the GDPR, and whether the statements of the VwGH in its aforementioned ruling regarding the criminal liability of legal entities in proceedings under Article 83 of the GDPR could be upheld. Since the decision of the CJEU on these preliminary questions had a prejudicial effect on the present proceedings, the administrative fine proceedings were suspended. Ultimately, the CJEU stated in its judgment of December 5, 2023, that the directly applicable provisions under Article 58 paragraph 2 lit. i and Article 83 paragraphs 1 to 6 of the GDPR are to be interpreted as being contrary to a national regulation according to which a fine for a violation mentioned in Article 83 paragraphs 4 to 6 of the GDPR against a legal entity in its capacity as a controller can only be imposed if this violation has previously been attributed to an identified natural person.

In this context, the CJEU explained that legal entities are not only liable for violations committed by their representatives, directors, or managers but also for violations committed by any other person acting within the scope of the business activity and in the name of the legal entity. Furthermore, it must be possible to impose the fines provided for in Article 83 of the GDPR directly against legal entities (cf. CJEU of December 5, 2023, C-807/21, para. 44).

The (substantive) requirements for the imposition of fines by supervisory authorities are precisely regulated in Article 83 paragraphs 1 to 6 of the GDPR, without any discretion for the Member States. The GDPR does not contain any provision stating that the imposition of a fine against a legal entity as a controller depends on the prior determination that this violation was committed by an identified natural person. The GDPR merely grants the Member States the possibility/authority to provide requirements for the procedure to be applied by the supervisory authorities when imposing a fine, but not to establish substantive requirements that go beyond those in Article 83 paragraphs 1 and 6 of the GDPR (cf. CJEU C-807/21, para. 45 et seq.).

The requirements for the imposition of a fine under Article 83 of the GDPR by a supervisory authority therefore arise exclusively from Union law. There are no opening clauses in this context for the Member States.

The CJEU pointed out that a national regulation that establishes additional requirements for the imposition of fines under Article 83 of the GDPR violates Article 83 paragraph 1 of the GDPR, as it weakens the effectiveness and deterrent effect of fines imposed on legal entities. It must be taken into account that fines are a key element of the GDPR and serve to enforce the objectives of this regulation, ensure the protection of the rights of affected individuals, and guarantee a high level of protection across the Union (cf. CJEU C-807/21, para. 51 and 73). As a result, the CJEU concluded that the requirements for the imposition of a fine under Article 83 of the GDPR are conclusively regulated in Article 83 paragraphs 1 to 6 of the GDPR (para. 53).

Beyond this question, the CJEU also stated that the term "company" in the sense of Articles 101 and 102 TFEU (see Recital 150 of the GDPR) is only relevant for the calculation of a fine imposed under

Article 83 paragraphs 4 to 6 of the GDPR (but not for the summarized result regarding the first preliminary question). Accordingly, the competition law concept of a company, which includes any entity engaged in economic activity regardless of its legal form and the nature of its financing, must be the basis for the decision on the amount of the fine (cf. CJEU C-807/21, para. 53 et seq.). In other words: For the calculation of the fine, the global annual turnover of the economic unit must be taken into account when the addressee of the fine is a company in the sense of Articles 101 and 102 TFEU or belongs to such a company.

This economic unit consists of a unified organization of personal, material, and immaterial resources that permanently pursues a specific economic purpose (cf. CJEU of October 6, 2021, C-882/19, para. 41 with references).

In this regard, the CJEU stated, as the Advocate General had previously indicated in his conclusions, that only a fine whose amount is determined based on the actual or material capacity of the addressee, using the concept of the economic unit, can ultimately meet the requirements mentioned in Article 83 paragraph 1 of the GDPR (effective, deterrent, proportionate) (cf. CJEU C-807/21, para. 58 et seq.).

2.5. Regarding the subjective element of the offense

In relation to the second preliminary question, the CJEU has now explicitly stated, as already assumed by the data protection authority in its previous case law,

that only violations of provisions of the GDPR that the controller commits culpably, i.e., intentionally or negligently, can lead to the imposition of a fine (cf. CJEU judgment of December 5, 2023, C-807/21, para. 68).

Regarding the subjective element of the offense, it should be noted that the requirement of culpability for the imposition of a fine under Article 83 GDPR is to be interpreted autonomously under EU law and assessed particularly in light of the case law of the CJEU. Furthermore, concerning the preliminary question regarding culpability, the CJEU stated that the EU legislator did not grant member states any discretion in this regard for national regulations, as the material requirements are conclusively regulated in Articles 83(1) to (6) GDPR (cf. also CJEU judgment of December 5, 2023, C-683/21, para. 64 et seq.).

Regarding the question of whether a violation was committed intentionally or negligently and can therefore be punished with a fine, the CJEU clarified in its aforementioned judgment that such culpability is already present if the accused could not have been unaware of the unlawfulness of their behavior, regardless of whether they were aware that they were violating the provisions of the GDPR (cf. CJEU C-807/21, para. 76).

With reference to further case law, the CJEU also explicitly clarified that the application of Article 83 GDPR to legal entities does not require an action or even knowledge on the part of the management body of that legal entity (cf. CJEU judgment of December 5, 2023, C-807/21, para. 77).

The responsibility and liability of a controller extends to any processing of personal data that is carried out by or on behalf of them. In this context, the controller must not only take appropriate and effective measures but must also be able to demonstrate that their processing activities comply with the GDPR and that the measures they have taken to ensure this compliance are effective (cf. CJEU C-807/21, para. 38, referring to Recital 74).

Applied to the present case, this means the following:

First, it should be noted that there were no indications during the investigation that the violations in question were committed by a person acting outside the scope of the business activity and on behalf of the legal entity. According to the CJEU's judgment, it is not necessary for the imposition of a fine against a legal entity that the data protection authority identifies a natural person who acted within the scope of the business activity and on behalf of the legal entity in its decision and attributes the actions of that person to the legal entity. Therefore, in the present case, it is also not relevant to the decision which managing director of the accused is responsible for the violations in question.

In light of the facts assumed to be proven, the data protection authority does not assume any intentional act by the accused. The accused, as the controller according to Article 4(7) GDPR, decided to install and operate a video surveillance system for the identified purposes without first inquiring about the relevant administrative regulations. Merely accessing the website of the data protection

authority (see above) would have sufficed to find out, for example, that only a storage duration of 72 hours is considered permissible. Furthermore, the European Data Protection Board has also published recommendations in the context of guidelines on video surveillance on its website (see Guidelines 3/2019 on the processing of personal data through video devices).

Additionally, reference can also be made to the finding of the Federal Administrative Court of April 8, 2022, under file number W214 2240128-1, which stated that the complainant there must also have been aware that there are relevant data protection regulations, especially since the GDPR was widely discussed and informed about in public when it came into effect in 2018, and a large number of media contributions on this topic were published (see point 3.3.2 regarding the fulfillment of the subjective element of the offense).

Regarding the unlawful processing of personal data through the operation of a video surveillance system (point I.), there is at least culpability in the form of negligence.

The violation of the mandatory maintenance of the processing register cannot be justified by any submissions from the accused. The accused did not inquire about the relevant administrative regulations either before or after the GDPR came into effect. However, it would have been possible and reasonable for the accused to do so. Also concerning point II., there is culpability in the form of negligence.

At the latest since the conclusion of the complaint procedure under Article 77 GDPR in conjunction with Section 24 DSG, it should have been clear to the accused that they were violating the provisions of the GDPR.

During the course of the investigation, there were no indications that the accused was not culpable for the violation of the applicable administrative regulations. The accused could not have been unaware of the unlawfulness of their behavior in light of the case law of the CJEU, regardless of whether they were aware that they were violating the provisions of the GDPR (cf. CJEU C-807/21, paras. 76 and 77; CJEU C-683/21, paras. 81 and 82 with references).

Thus, the subjective element of the offense is also fulfilled.

3.

Regarding the determination of the penalty, the following should be noted:

According to Art. 83 para. 1 GDPR, the data protection authority must ensure that the imposition of fines for violations of the provisions of the GDPR subject to sanction (Art. 83 para. 4, 5, and 6 GDPR) is effective, proportionate, and deterrent in each individual case. Furthermore, Art. 83 para. 2 GDPR stipulates that when deciding on the imposition of a fine and its amount, certain criteria must be duly considered in each individual case.

The data protection authority has applied the guidelines of the EDSA regarding the calculation of fines under the GDPR (see EDPB Guidelines 04/2022 on the calculation of administrative fines under the GDPR, Version 2.1 of 24.05.2023 – hereinafter referred to as "Fines Guidelines").

****Penalty Assessment****

The penalty assessment within a statutory penalty framework is a discretionary decision that must be made according to the criteria established by the legislator in § 19 VStG (see VwGH 05.09.2013, 2013/09/0106).

According to § 19 para. 1 VStG, the basis for the assessment of the penalty is the significance of the legally protected interest and the intensity of its impairment by the act. Moreover, according to the purpose of the penalty, the relevant aggravating and mitigating circumstances, insofar as they do not already determine the penalty, must be weighed against each other. Special attention must be paid to the degree of culpability. Considering the nature of administrative criminal law, §§ 32 to 35 of the Penal Code are to be applied *mutatis mutandis*. The income and asset situation and any maintenance obligations of the accused must be taken into account when assessing fines (this naturally applies only to natural persons, but can be applied *mutatis mutandis* to legal persons); however, this is only to the extent that the directly applicable provisions of the GDPR do not displace the provisions of the VStG and to the extent that is ordered by Art. 83 para. 8 GDPR and Recital 148 with regard to the procedural guarantees to be ensured.

By Art. 83 para. 3 GDPR, it is stipulated, in deviation from the cumulation principle established in § 22 para. 2 VStG, that in cases of the same or linked processing operations, through which intentional or negligent violations of several provisions of the GDPR occur, the total amount of the fine shall not exceed the amount for the most serious violation. Thus, within the scope of this provision, the absorption principle applies (comparable to the combination principle regulated in Austrian criminal law according to § 28 para. 1 StGB).

Otherwise (outside the scope of Art. 83 para. 3 GDPR), the cumulation principle according to § 22 para. 2 VStG applies (see, among others, BVwG 12.03.2020, GZ: W256 2223922-1). The Fines Guidelines also refer to this and state that Art. 83 para. 3 GDPR is limited in its application and does not apply to every case in which multiple violations of the GDPR are established (see Fines Guidelines, Chapter 3 - para. 39).

Furthermore, in the sense of Art. 83 para. 1 GDPR, it should be noted that in the context of the penalty assessment of the "total amount of the fine," applying the absorption principle according to Art. 83 para. 3 GDPR, all violations of the GDPR committed must be considered. The wording "amount for the most serious violation" refers to the penalty framework or the legally prescribed maximum amounts (see Art. 83 para. 4 to 6 GDPR). The EDSA stated that within the scope of Art. 83 para. 3 GDPR, the other violations committed cannot be de facto disregarded but must be duly considered in the penalty assessment (see Fines Guidelines, Chapter 3 – para. 43). Otherwise, this would lead to a privileging of controllers and processors who have violated several provisions of the GDPR in the context of an established factual situation.

The GDPR does not contain any explanations regarding Art. 83 para. 3 GDPR about what is meant by "the same or linked processing operations." The recitals also do not provide any further details on this.

In assessing "the same or linked processing operations," it should be considered according to the Fines Guidelines that all obligations necessary for the lawful execution of the processing operations can be taken into account. The wording (especially in the English version) suggests that the scope of Art. 83 para. 3 GDPR includes any violation that relates to the same or linked processing operations and can affect them (see Fines Guidelines, Chapter 3 – para. 27 f).

The Federal Administrative Court pointed out in this context that, according to common usage, cases in which multiple criminal offenses were fulfilled by "the same act (processing)" should also be subsumed under this provision and also referred to the English version (see, among others, BVwG 12.03.2020, GZ: W256 2223922-1).

In light of these statements, the absorption principle according to Art. 83 para. 3 GDPR applies to the established violations in this specific case. The penalty framework is derived from the most serious violation. Therefore, in the present case, the penalty framework according to Art. 83 para. 5 GDPR applies.

According to Art. 83 para. 5 GDPR, in the event of the violations mentioned therein, in accordance with para. 2, fines of up to EUR 20,000,000 or, in the case of an undertaking, up to 4% of its total worldwide annual turnover of the preceding financial year shall be imposed, whichever amount is higher.

The term turnover in Art. 83 para. 4, 5, and 6 GDPR is to be understood in the sense of Art. 2 no. 5 of Directive 2013/34/EU of the European Parliament and of the Council of June 26, 2013, on the annual financial statements, consolidated financial statements, and related reports of certain types of companies, amending Directive 2006/43/EC of the European Parliament and of the Council and repealing Council Directives 78/660/EEC and 83/349/EEC (hereinafter "Directive 2013/34/EU").

Turnover is the sum of all goods and services sold. Net turnover is the amount resulting from the sale of products and the provision of services after deducting revenue reductions and value-added tax (VAT) as well as other taxes directly related to turnover (cf. EDPB Guidelines 04/2022 on the calculation of administrative fines under the GDPR, Version 2.1, para. 128 et seq.).

From the document available to the Data Protection Authority (annual financial statement of the accused in the commercial register), only the balance profit can be extracted. However, this is not the relevant turnover in the sense of the definition presented above.

Due to the lack of cooperation from the accused regarding the determination of the annual turnover, the Data Protection Authority had to make an estimate (cf. VwGH 11.05.1990, 89/18/0179; 22.04.1992, 92/03/0019; 23.02.1996, 95/02/0174). In light of the Fines Guidelines, the accused is classified in relation to its turnover and with regard to the imposition of an effective, deterrent, and proportionate fine in the course of the estimation into the lowest category ("Undertakings with a turnover up until € 2 Million"). This classification duly takes into account the size of the company, particularly to ensure the proportionality of the fine.

The penalty range in the specific case extends according to Art. 83 para. 5 GDPR to an amount of EUR 20,000,000 (static penalty range). The dynamic penalty range (4% of the annual turnover) does not apply.

In light of the facts assumed to be proven and considering the nature, severity, and duration of the violation (Art. 83 para. 2 lit. a GDPR) [Note by the editor: in the original due to an obvious editorial error "Art. 83 para. 1 lit. a GDPR"], the intent or negligence of the violation (Art. 83 para. 2 lit. b GDPR), as well as the categories of personal data affected by the violation (Art. 83 para. 2 lit. g GDPR), the Data Protection Authority determines the severity of the infringement ("Seriousness of the infringement") with a high level of seriousness ("high level of seriousness").

Regarding the present case, in addition to the criteria already considered for determining the severity according to Art. 83 para. 1 lit. a, b, and g GDPR, the following aggravating factors were taken into account in the assessment of the penalty:

- n/a

Regarding the present case, in addition to the above, the following mitigating factors were considered in the assessment of the penalty:

- there are no relevant previous violations against the GDPR by the accused at the Data Protection Authority

In determining the penalty, considerations of special prevention and general prevention may also be included according to the consistent case law of the VwGH (cf. VwGH 15.5.1990, 89/02/0093, VwGH 22.4.1997, 96/04/0253, VwGH 29.1.1991, 89/04/0061). The imposition of the specific fine was necessary in terms of special prevention to deter the accused from committing further violations, particularly to raise awareness regarding the principles of data processing under Art. 5 para. 1 GDPR and their obligations as controllers, such as maintaining a record of processing activities. The accused did not show any insight regarding the alleged acts and it can be assumed that without the imposition of a fine, they will continue the processing in question. The imposition of the fine was also necessary in terms of general prevention to raise awareness among controllers regarding the lawful use of video surveillance systems, particularly in the workplace, and the associated obligations under the GDPR. The specific fine imposed in the amount of EUR 20,000 therefore appears to be appropriate in relation to the realized value of the act, measured against the available penalty range of Art. 83 para. 5 GDPR (here up to EUR 20,000,000), and is at the lower end of the available penalty range (0.1% of the penalty range).